Question #1 of 43

Question ID: 1674742

Which of the following is *least accurate* of the use of mean-variance optimization as an asset allocation tool for institutional investors that incorporate illiquid assets?

A) Mean-variance optimization falls short as an adequate asset allocation tool for many illiquid asset classes. ✗

B) Single-period mean-variance optimization fails when illiquid asset classes are introduced. ✗

C) Mean-variance optimization works effectively if hedge fund return series data is smoothed before determining a covariance matrix in the MVO process. ✓

Explanation

Mean-variance optimization works effectively if hedge fund return series data is *unsmoothed* before determining a covariance matrix in the MVO process. Unsmoothing adds back volatility to a return series, bringing greater reality to the smoothed data created from appraisal valuations.

(Module 8.3, LOS 8.f)

Question #2 of 43

Question ID: 1674722

In a private equity fund, capital calls:

A) occur according to a predetermined schedule. ✗

B) are required to occur within three years of the commitment date by mutual agreement. ✗

C) may limit the rate of return an investor earns on the private equity fund. ✓

Explanation

Capital calls are not made on a predetermined schedule. The uncertainty of the calls may limit an investor's ability to achieve a certain allocation and, therefore, may limit the return achieved by the private equity investment. There is no requirement that the capital must be called within the first three years.

(Module 8.2, LOS 8.d)

Question #3 of 43

Question ID: 1674724

A group of analysts working in the hedge fund industry are having a discussion on liquidity risks associated with investing in hedge funds. They make the following comments:

Analyst 1:	Long-only, equity-oriented hedge funds are mostly more liquid compared to funds that make greater use of short selling.
Analyst 2:	A levered fund may be subject to higher liquidity risk when markets are stressed.
Analyst 3:	Event-driven strategies, by their nature, tend to have shorter investment horizons than other hedge fund strategies.

Which of the comments are correct?

A) Analyst 1 and Analyst 2 are correct.

B) Only Analyst 1 is correct.

C) Analyst 1 and Analyst 3 are correct.

Explanation

The comments of Analyst 1 and Analyst 2 are correct. Analyst 3 is incorrect: event-driven strategies tend to have longer investment horizons. For example, merger arbitrage managers hold positions for the duration of a corporate takeover situation, which could last several months. Distressed debt investors need to hold positions over the period taken to negotiate the reorganization of failed companies, which could take even longer.

(Module 8.2, LOS 8.d)

Question #4 of 43

Question ID: 1674726

In the context of a private equity fund structured as a limited partnership, which of the following items increases available liquidity from the perspective of the limited partners?

A) Rebalancing.

B) A distribution.

C) A capital call.

Explanation

Liquidity is required to meet the demands of a capital call as it is a call to invest further funds previously committed to a private equity project. Therefore, from the perspective of the limited partners, the capital call decreases available liquidity.

Liquidity is also required for rebalancing, especially if illiquid assets are held within the fund. Therefore, from the perspective of the limited partners, rebalancing decreases available liquidity.

Receiving a distribution is a form of income paid from a long-term investment, which increases available liquidity.

(Module 8.2, LOS 8.d)

Question #5 - 8 of 43

Question ID: 1674716

Assuming the primary focus of the fund is to reduce the risk of not achieving long-term return goals, which of the following investments is generally *most appropriate*?

A) A new allocation to commodities. ✗

B) An increased allocation to fixed income. ✗

C) A new allocation to private equity. ✓

Explanation

Because the focus is on long-term return goals, a return-enhancing investment is the best choice. Both commodities and fixed income generally have lower returns.

(Module 8.1, LOS 8.c)

Question #6 - 8 of 43

Question ID: 1674717

A director of the fund has expressed a concern that the risk of one of the alternative investments may be understated. To which of the following investments is that concern *most likely* related?

A) Commodities. ✗

B) Private real estate. ✓

C) REITs. ✗

Explanation

Appraisals are likely to lead to smoothing, which reduces standard deviation—and, therefore, understates risk. REITs are traded and are less likely be impacted by the appraisal bias. Commodities through futures are very liquid and have transparent risk.

(Module 8.1, LOS 8.c)

Question #7 - 8 of 43

Question ID: 1674718

Assume the outlook for the economic cycle includes a forecast of high nominal economic growth, but only moderate real growth. An increased allocation to which of the following would be *best*?

A) Private equity. ✗

B) Nonindexed bonds. ✗

C) Commodities. ✓

Explanation

The scenario represents a high-inflation environment, so commodities represent the best hedge against inflation. Low real growth would tend to limit the return from private equity, and nonindexed bonds would perform poorly in the inflationary environment.

(Module 8.1, LOS 8.c)

Question #8 - 8 of 43

Question ID: 1674719

Assume the fund begins to use a risk factor approach to selecting investments where the fund desires protection against inflation, but also desires liquidity. Given that approach, an addition of which of the following is *best*?

A) REITs. ✓

B) Private real estate. ✗

C) Distressed debt. ✗

Explanation

The need for liquidity makes traded securities more attractive. Therefore, REITs best achieve both objectives of protecting against inflation (a real asset) and providing liquidity.

(Module 8.1, LOS 8.c)

Question #9 of 43

Question ID: 1674728

Paul Wood is a high-net-worth individual with a long investment horizon. He believes that markets are fundamentally efficient. His advisor recommends an investment in hedge funds to meet Wood's requirement of high returns. This would be the first alternative investment made by the investor. In recommending hedge funds to Wood, the advisor has *most likely* breached suitability considerations with respect to:

A) governance. ✗

B) investment horizon. ✗

C) expertise. ✓

Explanation

An investor should have the expertise to understand the sources of return and risk when allocating to alternative investments. Given this is the first investment in alternative assets, it is unlikely that the investor has the required expertise and knowledge to understand the implications of the investment. Returns from hedge funds are primarily earned through active management—something that can only persistently occur in inefficient markets. The investor believes that markets are efficient, which is also evidence that the alternative investment in hedge funds does not reflect the expertise of the investor.

(Module 8.3, LOS 8.e)

Question #10 of 43

Question ID: 1674725

Which of the following *most likely* represents the compensation to a sponsor of a private equity fund?

A) A management fee of 2% and an incentive fee of 20%. ✓

B) A management fee of 2% and an incentive fee of 2%. ✗

C) A management fee of 10% and an incentive fee of 10%. ✗

Explanation

As a manager, the sponsor gets a management fee and incentive fee. The management fee is usually around 1.5%–2.5%, and it is based upon the committed cash and not just the cash already invested. The percentage may decline over time based upon the assumption that the sponsor's work declines over time. The incentive fee is the share of the profits, usually around 20%, that is paid to the manager after the fund has returned the outside investors' capital.

(Module 8.2, LOS 8.d)

Question #11 - 13 of 43

Question ID: 1674737

Regarding the statement by Manuel, which of the following is *most accurate*?

A) Manuel is proposing a correct technique for incorporating fat-tail distributions. ✓

B) Manuel is proposing an incorrect technique, as two distributions combined will be normal. ✗

C) Manuel is proposing an incorrect technique because it is unlikely for alternative investments to have positive excess kurtosis due to diversification. ✗

Explanation

A valid technique for accounting for fat-tailed distributions is to combine two or more normal distributions with their own risk and return characteristics and assign a probability of each occurring, resulting in an overall nonnormal distribution. Despite the diversification benefits of alternative investments, they may contribute to fat-tailed distributions.

(Module 8.3, LOS 8.f)

Question #12 - 13 of 43

Question ID: 1674738

Nelson's comments are:

A) incorrect about the Monte Carlo simulation, but correct about combining distributions. ✗

B) incorrect about both the Monte Carlo simulation and about combining distributions. ✗

C) correct about the Monte Carlo simulation, but incorrect about combining distributions. ✓

Explanation

A valid technique for accounting for fat-tailed distributions is to use two or more distributions with their own risk and return characteristics and assign a probability of each occurring. Monte Carlo is a very flexible tool allowing for, among other issues, fat-tailed distributions of the returns.

(Module 8.3, LOS 8.f)

Question #13 - 13 of 43

Question ID: 1674739

Oliver's statement about mean-variance optimization is:

A) correct that mean-variance optimization would result in an overallocation for nonfrequently traded assets. ✓

B) incorrect because nonfrequently traded assets would likely have a higher variance and a lower allocation. ✗

C) incorrect because mean-variance optimization cannot be used with alternative investments due to transactions costs. ✗

Explanation

Infrequently traded assets may have risk that is biased downward due to smoothing resulting from appraisals. In a mean-variance framework, a high allocation is likely the result. Mean-variance optimization can be used with constraints and reflect other issues, such as transactions costs.

(Module 8.3, LOS 8.f)

Question #14 of 43

Question ID: 1674729

Alba Ameen, CFA, manages an alternative asset portfolio at Jarus Investments. The lack of transparency in alternative assets causes challenges in reporting portfolio performance. To address this, Ameen has established the following control mechanisms:

I. Appointing independent administrators
II. Appointing an independent and respected accounting firm to perform the audit function
III. Allowing wide discretion in the valuation of fund assets

Which of the mechanisms is *least appropriate*?

A) Mechanism II. ✗

B) Mechanism I. ✗

C) Mechanism III. ✓

Explanation

Good practice when addressing transparency issues in alternative asset fund valuation is to appoint an independent administrator to perform valuation functions and appoint an independent and respected accounting firm to perform the audit function. Failure to make such appointments can lead to wide discretion in the valuation of assets, which is not good practice.

(Module 8.3, LOS 8.e)

Question #15 of 43

Question ID: 1674740

Risk factor–based asset allocation provides robust asset allocations, but care must be taken because of the following:

I. Investors may hold different definitions for a given risk factor.

II. Correlations among risk factors may shift under changing market conditions.

III. Factor sensitives are generally very stable.

Which of the following is *most accurate*?

A) Statements I and III are correct. ✗

B) Statements I and II are correct. ✓

C) Statements II and III are correct. ✗

Explanation

Some caveats with respect to risk factor–based allocations are that investors may hold different definitions for a given risk factor, correlations among risk factors may shift under changing market conditions, and some factor sensitivities are very *unstable*.

(Module 8.3, LOS 8.f)

Question #16 of 43

Question ID: 1674712

An endowment wishing to diversify equity market risk is considering adding either bonds or alternative investments to its portfolio. A disadvantage of using bonds instead of an alternative asset is that:

A) changes in inflation levels could adversely impact the correlation of stocks and bonds. ✓

B) bonds tend to have a negative correlation with equities. ✗

C) bonds have higher expected returns than alternative assets over the long term. ✗

Explanation

Bonds tend to exhibit low or negative correlation with equity markets when inflation is low. This makes bonds a good diversifier of equity market volatility in the short term. However, an increase in inflation could change this relationship because excessive inflation generally tends to be bad for both equity and bond markets at the same time. Low/negative correlations between bonds and equities is an *advantage* of using bonds over alternative assets to mitigate equity market risk. Bonds have *lower* expected returns than alternative assets over the long term.

(Module 8.1, LOS 8.b)

Question #17 of 43

Question ID: 1674746

Which of the following concerns about monitoring alternative investments is *most* related to the wide range of discretion that managers of alternative investment funds have in selecting investments?

A) Custodian services.

B) Style drift.

C) Creation of a new fund by the current manager.

Explanation

When managers have wide discretion in choosing investments, they may not stick to their original investment philosophy, resulting in style drift. Both custodial services and distraction of creating a new fund are challenges in evaluating and monitoring alternative investments; style drift is most directly an issue with manager discretion.

(Module 8.3, LOS 8.h)

Question #18 of 43

Question ID: 1674709

Mark Jansen is a private credit analyst at Rockfort Asset Management. He has been asked by his supervisor to make a presentation on the role of direct lending and distressed investment in a portfolio. In his presentation to his supervisors, he makes the following statements:

- Both strategies involve the ownership of fixed-income assets.
- Distressed debt investments act more like fixed income, while direct lending investments act more like equity.
- Illiquidity risks are high with both strategies.

Which statement made by Jansen is *least accurate*?

A) Distressed debt investments act more like fixed income, while direct lending investments act more like equity. ✓

B) Both strategies involve the ownership of fixed-income assets. ✗

C) Illiquidity risks are high with both strategies. ✗

Explanation

Distressed debt investments exhibit *more equity-like returns* due to returns being linked to enhancing company value through reorganizing the distressed company. Direct lending investments are income-producing, speculative-grade investments that produce returns similar to high-yield credit investments.

(Module 8.1, LOS 8.a)

Question #19 of 43

Question ID: 1674747

A limited partner in a private alternative investment fund observes that a general partner has withdrawn a significant portion of their own capital from the fund. Such an observation would raise a red flag with respect to:

A) style drift. ✗

B) key person risk. ✗

C) alignment of interests. ✓

Explanation

Investors in private alternative investment funds would expect general partners (GPs) to have an investment in the fund to align interests of GPs with LPs. A withdrawal of capital from the fund by GPs would raise concerns that the manager's interests are outside of the fund.

(Module 8.3, LOS 8.h)

Question #20 of 43

Question ID: 1674708

The Xanuz Foundation (Xanuz) has historically invested solely in traditional asset classes. A recent review by the investment committee has recommended including alternative investments in the portfolio for the first time. The research committee of Xanuz is forecasting a high probability of a major market shock occurring over the next few quarters. Given this forecast, the *most appropriate* alternative asset class to add to the portfolio is:

A) gold. ✓

B) private equity. ✗

C) bonds. ✗

Explanation

Given the research committee's forecast of a high probability of a major market shock, the most appropriate allocation would be to an asset class that acts as a safe haven in times of crisis. Historically, government bonds and precious metals, such as gold, have fulfilled this role. Bonds is an incorrect answer because it is a traditional asset class. Private equity is not the best answer because it is seen as more of a return enhancer rather than as a safe haven.

(Module 8.1, LOS 8.a)

Question #21 of 43

Question ID: 1674720

A hedge fund employs a side pocket as part of its structure. This feature will *most likely* result in which of the following?

A) Liquidity that is overestimated due to restrictions on redemptions. ✓

B) Risk that is overestimated due to lower standard deviations from illiquid investments. ✗

C) Returns that are overestimated due to capital calls being less than committed capital. ✗

Explanation

The side pocket refers to a private equity fund limiting redemptions on some of the holdings that have lower liquidity. Therefore, the ordinary redemptions would not apply and may overstate the actual liquidity of the fund.

(Module 8.2, LOS 8.d)

Question #22 of 43

Question ID: 1674707

Which of the following *best* represents an income-producing investment with limited liquidity?

A) Distressed debt. ✗

B) Private equity. ✗

C) Direct lending. ✓

Explanation

Direct lending, though not liquid, provides income. Private equity and distressed securities have equity characteristics and will likely produce less income.

(Module 8.1, LOS 8.a)

Question #23 of 43

Question ID: 1674743

An investor in a private equity fund who wishes to maintain their target asset allocation should *most likely* allocate undrawn capital to:

A) REITs. ✗

B) public equity. ✓

C) cash. ✗

Explanation

Investors (the limited partners or LPs) in private equity funds commit capital at the start of the fund's life, but capital is actually paid to managers (general partners or GPs) over the first 3 to 4 years of the fund's life as the GP sources portfolio investments. An investor wishing to maintain their asset allocation on undrawn commitments in the first few years of the fund's life should allocate to public equity markets as a proxy for private equity markets. REITs would be a more suitable allocation for undrawn commitments on a private real estate fund. Allocating to cash would cause the asset allocation of the manager to deviate from strategic target weights, and there would be a high opportunity cost in holding an asset class with such low expected returns.

(Module 8.3, LOS 8.g)

Question #24 of 43

Question ID: 1674748

Private equity, credit, and real estate returns are typically reported using internal rates of return (IRRs) rather than time-weighted returns (TWR). However, IRRs are sensitive to the timing of cash flows into and out of the fund. What other measures can be used in the performance evaluation of alternative investments?

A) Multiple on invested capital only. ✗

B) Both multiple on invested capital and peer group analysis. ✓

C) Peer group analysis only. ✗

Explanation

Using the basic multiple on invested capital (MOIC) measure helps to address some of the issues of the IRR calculation, such as it being dependent on the timing of the cash flows of the fund. Using peer group analysis helps to assess the relative performance of a manager.

(Module 8.3, LOS 8.h)

Question #25 of 43

Question ID: 1674744

An endowment fund has a target asset allocation of 10% in private equity. To achieve that allocation, the fund sets aside 10% of assets to meet capital calls as they occur. The 10% should ideally be invested in:

A) the same allocation the fund currently has in the remaining 90% not invested in private equity. ✗

B) liquid investments similar to those expected when the private equity capital calls occur. ✓

C) cash to meet the capital calls. ✗

Explanation

The objective of achieving a 10% allocation to private equity is best done by investing in liquid securities that have similar characteristics. Investing in cash will lead to lower returns, and mimicking the remaining allocation will not allow the 10% to perform as closely as possible to the future private equity investment.

(Module 8.3, LOS 8.g)

Question #26 of 43

Question ID: 1674727

The TJ Fund is an endowment fund guided by directors who believe that markets are not price efficient. They also believe in the principles of taking moderate risk and in complete transparency. Which of the following *best* represents why the fund would consider alternative investments?

A) The need for complete transparency. ✗

B) The accepting of moderate risk. ✗

C) The belief in a market that is not price efficient. ✓

Explanation

Alternative investments are generally premised on the principle that active management can add value. That principle is consistent with a market that is not perfectly price efficient. Alternative investments may increase risk and generally are not as transparent as other investments.

(Module 8.3, LOS 8.e)

Question #27 of 43

Question ID: 1674710

Which of the following investments is *least likely* to be considered a form of indirect investment in commodities?

A) Long position in coffee futures expiring three months from now. ✓

B) Investment in a publicly traded mutual fund that invests in agriculture. ✗

C) Long futures position on the shares of a commodity trading company. ✗

Explanation

A long position in commodity futures is considered a direct investment in commodities. Investments in the shares of commodity trading companies and commodity-related mutual funds are considered to be indirect investments.

(Module 8.1, LOS 8.a)

Question #28 - 31 of 43

Question ID: 1674731

Which statement in Johnson's report is *least accurate*?

A) Statement 3. ✗

B) Statement 2. ✓

C) Statement 1.

Explanation

Statement 2 is least accurate. Private equity investments share many of the same risk factors as public equity, which would not provide significant diversification benefits.

The other statements are accurate. Some hedge funds (particularly, long-short equity) will reduce overall portfolio beta. Direct lending investments often carry higher interest rates in the form of an expected return premium due to illiquidity; therefore, such investments are good sources of income.

(Module 8.1, LOS 8.a)

Question #29 - 31 of 43

Question ID: 1674732

Johnson's presentation to the committee regarding risk mitigation should recommend the inclusion of which alternative asset class?

A) Private credit.

B) Real assets.

C) Private equity.

Explanation

Real assets may be viewed as risk-reducing (and, thus, lower-return) investments. Private credit and private equity may be viewed as return-enhancing (and risk-increasing) investments.

(Module 8.1, LOS 8.a)

Question #30 - 31 of 43

Question ID: 1674733

Johnson's response to the committee regarding the side pocket is:

A) incorrect—large side pockets increase liquidity risk.

B) correct.

C) incorrect—side pockets are not a liquidity consideration.

Explanation

Side pockets refer to a portion of a hedge fund's investments that the general partner has designated to be subject to different redemption terms. Those investments are usually less liquid; therefore, having large side-pocketed assets will increase liquidity risk.

(Module 8.2, LOS 8.d)

Question #31 - 31 of 43

Question ID: 1674734

Which category within Perpetual's investor base would be *least* suitable to invest in alternative assets?

A) Category 2. ✗

B) Category 1. ✗

C) Category 3. ✓

Explanation

One characteristic of alternative investments is the relatively lower level of transparency in comparison to public stocks or bonds. As such, detail-oriented clients may not be satisfied due to the lack of information provided regarding the investments.

Alternative investments are most suitable for longer-term investors who are relatively young, as some asset classes may have long initial ramp-up investment periods (private equity) or invest in illiquid assets, either of which may restrict withdrawals. Many alternative investment strategies are considered higher risk than traditional asset class investments, so they would be suitable for investors who are high risk-takers.

(Module 8.3, LOS 8.e)

Question #32 of 43

Question ID: 1674735

In analyzing alternative investments, a test of serial correlation may be performed. The purpose of this test is to:

A) assess whether certain macroeconomic factors affect the correlated returns. ✗

B) understand if the risk of the alternative investment is understated. ✓

C) determine a profit strategy. ✗

Explanation

The test of serial correlation would reveal if the series were artificially smoothed through appraisals. Data that is artificially smoothed would have understated risk. While the other answers may be uses of serial correlation, the question specifically asks about the issue related to alternative investments.

(Module 8.3, LOS 8.f)

Question #33 of 43

Question ID: 1674741

Jonathan Green is using Monte Carlo simulation to identify the appropriate asset allocation for his client. What is the first step in the process?

A) Generating scenarios using the different means and covariances estimated under the different regimes. ✗

B) Identifying variables to be randomly generated as part of the simulation process. ✓

C) Simulating skewed and fat-tailed financial variables by estimating the behavior of factors and/or assets in low-volatility regimes and high-volatility regimes. ✗

Explanation

The first step in Monte Carlo simulation is to establish the distributions of the random variables that are expected to drive asset class returns. These distributions can then be used to generate simulations of potential returns of the portfolio.

(Module 8.3, LOS 8.f)

Question #34 of 43

Question ID: 1674723

An investor is looking to invest in an alternative asset class through funds-of-funds (FoFs). Which of the following features of a FoF is *least likely* to support their use by the investor versus a direct investment in individual funds?

A) The level of diversification across the asset class. ✗

B) The level of outsourced expertise in fund manager due diligence. ✗

C) The degree of flexibility to tailor exposure. ✓

Explanation

The degree of flexibility to tailor exposure is the correct answer because, by using a FoF, the investor will lose control over the exposures taken in the FoF, which will instead be decided by the FoF manager. A FoF offers immediate diversification across many underlying managers, with the FoF manager responsible for performing manager selection due diligence. Hence, the level of diversification across the asset class and the level of outsourced expertise in fund manager due diligence are *advantages* of the FoF structure, not disadvantages.

(Module 8.2, LOS 8.d)

Question #35 - 38 of 43

Question ID: 1674750

Payne's response to Bridge's asset allocation recommendation is:

A) correct regarding Risk Objective 2, but incorrect regarding Risk Objective 1.

B) correct regarding Risk Objective 1, but incorrect regarding Risk Objective 2.

C) correct.

Explanation

In the current macroeconomic environment of rising inflation, an increase in allocation to government bonds will fail to meet either risk objective of the endowment.

An increased allocation to government bonds will fail to meet Risk Objective 1 because, in a rising inflation and rising bond yield environment, bond prices will be falling. This will likely cause government bond prices to be falling at the same time as equity prices, thereby lowering the short-term diversification benefits of allocating to government bonds.

(Note that the curriculum does mention that government bonds are an effective diversifier of equity market volatility in the short term, but this assumes low inflation. If inflation is rising, as in this scenario, government bonds will be falling at the same time as equity prices and government bonds will be less effective in diversifying equity market volatility).

An increased allocation to government bonds will also fail to meet Risk Objective 2 because the low returns of government bonds will lower the chance of the endowment meeting its long-term return goals of earning the spending rate plus inflation over the long term, particularly in a high-inflation environment.

(Module 8.1, LOS 8.b)

Question #36 - 38 of 43

Question ID: 1674751

Based only on the data in Exhibit 1, the *most appropriate* asset class in addressing Payne's concerns of interest rate risk and inflation risk is:

A) inflation-linked bonds.

B) hedge funds.

C) commodities.

Explanation

In a rising interest rate environment, Payne should be looking to lower the nominal duration of the portfolio. This rules out asset classes with high nominal duration, such as inflation-linked bonds. To hedge against inflation risk, Payne should allocate to asset classes with high sensitivity to inflation; this rules out hedge funds as the answer. This leaves commodities as the best option.

(Module 8.1, LOS 8.c)

Question #37 - 38 of 43

Question ID: 1674752

Based on the theoretical liquidity planning data provided by Bridge and using the Takahashi and Alexander model, the net liquidity position (distributions – contributions) for Year 4 is *closest* to:

A) –EUR 42.

B) + EUR 42.

C) + EUR 100.

Explanation

Distributions in Year 4	= rate of distribution × [NAV in Year 3 × (1 + growth)] = 0.25 × [EUR 662 × 1.1] = EUR 182.05
Contributions in Year 4	= rate of contribution × (committed capital – capital paid in) = 0.35 × (EUR 1,000 – EUR 600) = EUR 140

Hence, the net liquidity position in Year 4 = EUR 182.05 – EUR 140 = EUR 42.05.

(Module 8.3, LOS 8.g)

Question #38 - 38 of 43

Question ID: 1674753

In response to Payne's concerns regarding negative skewness and long tails, Bridge should recommend using which of the following asset allocation methods?

A) Mean-variance optimization without constraints.

B) Mean-variance optimization with constraints.

C) Mean-CVaR optimization.

Explanation

Mean-variance techniques, whether constrained in terms of the weights it can produce or unconstrained, is based on volatility as a risk measure. When volatility is used as a risk measure, there is no reflection of any skewness in the data—the assumption is that deviation from the mean occurs equally on both sides of the mean and, therefore, there is no skew. If Payne is concerned about negative skew in the return distributions of alternative assets, she should use mean-CVaR techniques, which base the risk measure of the portfolio on the conditional value at risk (CVaR) of the portfolio. CVaR measures the average loss when in the left tail of the distribution (at a stated significance level, such as 5%) and, therefore, will capture the impact of any skewness in the left tail of the distribution.

(Module 8.3, LOS 8.f)

Question #39 of 43

Question ID: 1674745

Which of the following is *most correct* regarding returns and reporting for alternative investments?

A) Stale pricing is not generally a concern because investments are selected opportunistically, and such pricing is accepted as part of the fund's strategy. ✗

B) Significant delays in reporting can present a challenge for monitoring alternative investment funds. ✓

C) Alternative investment firms use time-weighted rates of return in reporting. ✗

Explanation

Unlike liquid investments, significant time lags may hinder the monitoring of alternative investment performance. Other challenges in monitoring alternative investment performance is the use of internal rates of return (not time-weighted rates of return) in reporting performance and stale pricing, which can affect risk and return measures.

(Module 8.3, LOS 8.h)

Question #40 of 43

Question ID: 1674721

A disadvantage of undertakings for collective investments in transferable securities (UCITS) compared to traditional limited partnerships is:

A) limited investment choice due to regulation. ✓

B) low liquidity. ✗

C) returns that are fat tailed. ✗

Explanation

The regulation of UCITS does limit investment choice. Compared to traditional limited partnership investments, UCITS have better liquidity. There is no evidence provided in the curriculum that UCITS have fat-tailed distributions.

(Module 8.2, LOS 8.d)

Question #41 of 43

Question ID: 1674714

A disadvantage of using a risk factor–based asset allocation approach relative to a traditional approach is:

A) practical hurdles in implementing portfolio mandates. ✓

B) overestimation of diversification. ✗

C) ambiguous primary drivers of risk. ✗

Explanation

Implementation hurdles are a limitation of risk-based approaches. While the risk-based approach explicitly defines target exposures to different quantitative risk factors (such as equity, duration, and credit spreads), it is not explicit as to how these target risk factor exposures are best achieved using the asset classes available to the manager. The actual implementation of the strategy will need to consider other issues, such as liquidity, external manager selection, and rebalancing, all of which may be hurdles in implementing a successful risk-based approach. The other choices are disadvantages of using a traditional asset allocation approach.

(Module 8.1, LOS 8.c)

Question #42 of 43

Question ID: 1674711

When considering the risk-reduction properties of alternative assets, it is sometimes noted that the reported returns of alternative assets exhibit lower volatility than the returns of public equities. The observation would be correct if:

A) there is strong positive correlation between the alternative asset returns and traditional asset returns. ✗

B) the alternative asset returns exhibit serial correlation. ✓

C) the alternative asset returns come from an index that has an absence of survivorship bias. ✗

Explanation

Many alternative asset valuations are appraisal based, which means that values are estimated rather than observed from market prices. Due to their infrequency and the use of historical data, these appraisal valuations tend to lag true market valuations, which leads to reported volatility being biased downward. This smoothing of appraisal-based returns is evidenced by positive serial correlation in the appraisal-based returns.

Appraisal-based returns tend to bias reported correlations with other asset classes downward, not upward (positive).

The presence, not absence, of survivorship bias may lower estimates of downside risk for alternative asset index data.

(Module 8.1, LOS 8.b)

Question #43 of 43

Question ID: 1674713

Emanuel Seig, portfolio manager for HGI Funds, has recently attended a seminar about the impact of inflation on asset class performance. In his summary notes, he makes the following points:

1. With moderate inflation and high growth in an economy, high-yield bonds are expected to underperform.
2. With high inflation and low growth in the economy, inflation-linked bonds are expected to outperform.
3. Commodities are expected to outperform in a recessionary and deflationary environment.

With respect to the points written in his notes, it is *most likely* that:

A) none of the points are correct. ✗

B) only two points are correct. ✗

C) only one point is correct. ✓

Explanation

Inflation-linked bonds are expected to deliver strong performance in times of high inflation and low growth in the economy. Hence, Point 2 is correct.

Commodities are expected to deliver strong performance in times of high inflation and high growth. Hence, Point 3 is incorrect.

High-yield bonds have a behavior pattern similar to that of equity, delivering strong performance in times of moderate inflation and high growth. Hence, Point 1 is incorrect.

(Module 8.1, LOS 8.c)